

Investment Vocabulary Notes

What is Investment?

Investment means putting money, time, or effort into something with the hope of gaining profit or benefit in the future.

Example:

Buying shares in a company

Saving money in a fixed deposit

account

Starting a business

Words Associated with

Investment

Word and their Meaning

Example Sentence

Capital

Money used to start or grow a

business

The company raised capital for

expansion.

Profit

Money gained after expenses

are removed

Investors hope to make a profit.

Loss

Money lost in an investment

He suffered a loss in the stock

market.

Shares

Units of ownership in a

company

She bought shares in a bank.

Dividend

Part of a company's profit

shared with investors

The company paid a yearly

dividend.

Interest

Extra money earned from

savings or loans

The bank gives 5% interest

yearly.

Risk

Possibility of losing money

Every investment has some risk.

Return

Profit or benefit from an

investment

Real estate gives good returns.

Asset

Something valuable owned

Land is an important asset.

Liability

Debt or financial obligation

Loans are liabilities.

Portfolio

Collection of investments

He has a strong investment

portfolio.

Bond

Money lent to government or

company

She invested in government

bonds.

Stock Market

Place where shares are bought

and sold

The stock market changes daily.

Inflation

Increase in prices over time

Inflation reduces purchasing

power.

Savings

Money kept for future use

Savings help in future

investments.

Types of Investments

1. Stocks

Ownership in a company.

2. Bonds

Loans given to governments or

companies.

3. Real Estate

Investment in land or buildings.

4. Mutual Funds

Money pooled together and

invested by professionals.

5. Fixed Deposit

Money saved in a bank for a

fixed period.

Importance of Investment

Helps grow wealth

Provides financial security

Helps beat inflation

Creates future opportunities

Supports business growth

Exercises

A. Fill in the Blanks

1. Money earned from

investment is called _____.

2. A collection of investments is

called a _____.

3. The possibility of losing

money is known as _____.

4. Land and buildings are

examples of _____

investment.

5. Extra money earned from

savings is called _____.

Answers

A. Fill in the Blanks

1. Profit/Return

2. Portfolio

3. Risk

4. Real Estate

5. Interest

